Polycab India Ltd

Concall Tracker · Q2-2027 update · Prepared 6 Nov 2026 · Ticker: POLYCAB · Builds on the Q1-2027 report

1. Snapshot

What the business does: Polycab is India's largest maker of wires and cables (W&C), the copper and aluminium wiring that goes into homes, offices, factories, power grids and infrastructure. It also sells consumer electricals under FMEG (Fast-Moving Electrical Goods: fans, lights, switches, switchgear, pipes and solar inverters) and builds government network projects through an EPC (engineering, procurement and construction) arm. Wires and cables are still the bulk of sales, sold mostly through dealers.

Number	Value	What it means
Market value	~₹1,18,600 cr	What the market says the whole company is worth, lower than at our last report.
Price-to-earnings (P/E)	~38x	You pay about ₹38 for each ₹1 of yearly profit. Down from ~48x last time, because profit jumped and the price slipped. Still not cheap.
Q2 FY27 revenue	~₹9,840 cr	Sales for Jul-Sep 2026, up 53% on last year. A big chunk of that is higher copper prices passed on to buyers.
Q2 FY27 net profit	~₹990 cr	A record quarter, up 43% on last year. Profit margin about 10%, so ₹10 kept for every ₹100 sold.
Q2 FY27 operating margin (EBITDA)	14.4%	Operating profit before interest, tax and wear-and-tear. Above the 11-13% band management keeps guiding to.
Net cash	~₹4,520 cr	More cash than debt, up from ~₹2,940 cr a year ago. A very safe balance sheet.
Return on capital (ROCE)	~33%	Earns about ₹33 a year for every ₹100 put into the business. Excellent.

2. Concall coverage

Only the newest call was read in full this quarter. The backstory comes from our Q1-2027 baseline report, which read 13 calls over three years.

Quarter	Call date	Read?
Q1 FY24 → Q4 FY26 (12 calls)	Jul 2023 - May 2026	Carried forward from the Q1-2027 report
Q1 FY27 (prior boundary)	16 Jul 2026	Read in the Q1-2027 report
Q2 FY27	15 Oct 2026	Newly deep-read in full ★

★ Latest concall highlights - Q2 FY27 (call held 15 Oct 2026)

- **Best quarter and best half-year ever.** Revenue up 53%, profit up 43% to about ₹990 cr. H1 revenue crossed ₹18,000 cr, up 46%.
- **But look at volumes.** Wires and cables revenue rose 47%, yet the actual quantity sold grew only mid-to-high single digits (wires low double digits, cables mid single digits). Copper averaged roughly 40-45% higher this half, and Polycab passes that straight into prices. So most of the jump is price, not more units.
- **FMEG is the real story.** Sales more than doubled (+124%), the 11th straight quarter of beating the industry, and EBIT margin crossed 10% for the first time. That's already above the 8-10% target set for FY30. Solar inverters lead, but they're traded, not made in-house.
- **Two slips.** The extra-high-voltage (EHV) cable plant is now due in FY28 (April-May 2027), later than the end-2026 date given last quarter. Exports recovered sharply from Q1 but are still only ~5% of revenue, half the 10% goal.
- **New noise.** A supplier dispute of about ₹2.8 cr got Polycab admitted to insolvency proceedings at the NCLT (company law tribunal). The appeals tribunal stayed that order, the case was argued on the call day and the order is reserved. Management expects no impact. UltraTech's entry into wires came up repeatedly; management says it hasn't cut prices and sees no real threat yet.

Business mix & capacity. Domestic ~95% / exports ~5% of revenue. Exports were ~6.5% a year ago and look smaller now partly because domestic sales grew so fast. Plain read: this is almost entirely an India story. Capacity: no fresh utilisation number this call. Last known, wire and cable plants ran around 75-76%, with room to about 80-85%, so there's still some headroom. Capex was ~₹610 cr in H1. The EPC order book is about ₹9,000-10,000 cr. Working capital fell to about 11 days, helped by longer credit on copper purchases; management expects it to drift back toward 45-50 days.

★ Since our last report

Builds on the Q1-2027 report (call 16 Jul 2026). Prior verdicts: trigger YES, consistency YES.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Market leader riding a power and infra build-out, plus FMEG as a second engine.	Revenue and profit at records, FMEG well ahead of plan. Volume growth is still modest, so copper is doing a lot of the lifting.	Confirmed
Consistency: YES	Under-promises on W&C; FMEG and exports were the blemishes.	Margin guidance beaten again. EHV slipped a few months and exports are still lagging.	Confirmed, small dents
Exports to 10%	Slipping for years; Middle East hit in Q1.	Up 85% on Q1, up 17% on last year, but still ~5% of sales.	Slipping
Volume growth re-accelerating	Q1 volumes only low-to-mid single digit.	Mid-to-high single digit on a tough base.	Improving
FMEG holding 8-10% margin	Q1 at 8%.	10.1%, a first.	Improving
EHV plant end-2026	Commission end-2026, revenue FY28.	Now commissioning in FY28 (Apr-May 2027).	Slipping
New entrants	Adani and Aditya Birla could pressure pricing.	Channel checks cited cheaper rival wires; Polycab says it sees no price cut needed.	Watch

Verdict change: both unchanged at YES. The numbers are the best ever, but the honest caveat stays: much of the revenue jump is copper, and the volume engine is steady rather than exciting.

★ 3. Earning-trigger thesis

Polycab's driver is simple. India keeps building power lines, homes, factories and data centres, all of which need wire and cable, and Polycab has been taking about a point or more of market share a year. On top of that sits FMEG, which went from losses two years ago to double-digit margins now. What weakens the case this quarter is that volumes are growing only mid-to-high single digits while revenue grows near 50%. Copper prices flatter the top line. If copper falls, revenue growth will look much weaker even if the business is fine. The FY30 "Project Spring" plan (grow 1.5x the market, 11-13% W&C margin, exports above 10%) is unchanged.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
W&C on India's infra and power build-out	Grow 1.5x the market; demand strong into H2.	Revenue +47%, volume mid-high single digit; record profit.	To FY30	Strong, but copper-flattered	unchanged
Market-share gains	Gains 1-1.5 points a year, 3-4 last year.	Organised share ~30-31%.	Ongoing	Strong	unchanged; UltraTech a new watch item
FMEG	8-10% EBITDA by FY30, grow 1.5-2x industry.	+124% sales, 10.1% EBIT already.	Now - FY30	Strong	↑ beat its own target early
Exports above 10%	Strong order pipeline, 94 countries.	~5% of sales.	FY30	Weak	unchanged (still lagging)
EHV cable plant	Big import-substitution market.	Commissioning moved to FY28.	FY28+	Unproven	↓ pushed back
EPC (BharatNet, RDSS)	High single-digit margins.	Revenue +53%, EBIT 7.2%; order book ~₹9-10k cr.	Near-term	Moderate	↑ execution picked up

4. Management-consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY25	₹20,000 cr revenue by FY26 (Project Leap).	Hit about a year early.	Delivered
All calls	W&C margin 11-13%.	Q2 FY27 W&C EBIT 14.2%; consistently above the band.	Delivered / beat
FY24	FMEG 10% EBITDA by FY26.	Missed and reset to 8-10% by FY30.	Partly
FY25-FY27	FMEG 8-10% by FY30.	10.1% EBIT in Q2 FY27.	Delivered (early)
FY24 onward	Exports to 10% of revenue.	~5% now; target pushed to FY30.	Missed / slipping
Q1 FY27	EHV plant commissions end-2026.	Moved to FY28 (Apr-May 2027).	Slipping
FY26-FY27	Capex ₹1,200-1,600 cr a year.	~₹610 cr in H1 FY27.	On track

Narrative drift: very little. The FY30 Project Spring framework is repeated almost word for word every call, and management keeps refusing to raise the W&C margin guide even while beating it, which is the conservative habit we liked last time. The blemishes are the same ones: exports keep lagging and a project date moved. The insolvency petition looks like a nuisance case over a tiny sum and was stayed, but it's an odd thing for a company this size to face, so it's worth tracking until the order comes.

5. Bottom line

Durable earning trigger? → YES vs last quarter: unchanged

Nothing moved it down. Records across revenue, profit and margin, FMEG ahead of plan, net cash growing. The one honest caveat is the same as last time but louder now: most of the revenue growth is copper prices, while volumes grow at a steady mid-to-high single-digit pace. The trigger is real, it's just less dramatic than the headline numbers make it look. At a P/E near 38 the price already assumes it keeps going.

Management consistent? → YES vs last quarter: unchanged

They beat their own margin guidance again, kept the FY30 targets steady, and were upfront about the EHV delay and the insolvency case. Exports remain the long-running miss and the EHV date slipped a few months. Neither is a change in story, so YES holds.

Sources: Polycab India Q2 FY27 earnings-call transcript (15 Oct 2026) via Screener.in; Q1-2027 concall-tracker report for earlier calls; Screener snapshot tables. Figures as management stated them or as in the snapshot. Not investment advice. Do your own due diligence.